FINM3013 Introduction to Financial Derivatives

Chapter 03

Class exercises

Multiple Choice Questions

1. Futures contracts trade with every month as a delivery month. A company is hedging the purchase of the underlying asset on June 15. Which futures contract should it use?
   A. The June contract
   B. The July contract
   C. The May contract
   D. The August contract

2. On March 1 a commodity's spot price is $60 and its August futures price is $59. On July 1 the spot price is $64 and the August futures price is $63.50. A company entered into futures contracts on March 1 to hedge its purchase of the commodity on July 1. It closed out its position on July 1. What is the effective price (after taking account of hedging) paid by the company?
   A. $59.50
   B. $60.50
   C. $61.50
   D. $63.50

3. A company has a $36 million portfolio with a beta of 1.2. The futures price for a contract on an index is 900. Futures contracts on $250 times the index can be traded. What trade is necessary to reduce beta to 0.9?
   A. Long 192 contracts
   B. Short 192 contracts
   C. Long 48 contracts
   D. Short 48 contracts

4. Which of the following is a reason for hedging a portfolio with an index futures?
   A. The investor believes the stocks in the portfolio will perform better than the market but is uncertain about the future performance of the market
   B. The investor believes the stocks in the portfolio will perform better than the market and

the market is expected to do well

C. The portfolio is not well diversified and so its return is uncertain
D. All of the above

5. The basis is defined as spot minus futures. A trader is hedging the sale of an asset with a short futures position. The basis increases unexpectedly. Which of the following is true?
   A. The hedger's position improves.
   B. The hedger's position worsens.
   C. The hedger's position sometimes worsens and sometimes improves.
   D. The hedger's position stays the same.